

Session 4.3: Empirical Industry Evidence

Non-GAAP reconciliation, partner/consumer subsidy audits, and Grab Holdings super-app trajectory.

PART 1 (LECTURE)
60 Minutes

PART 2 (LAB PRACTICE)
60 Minutes

PART 3 (EXECUTIVE MEMO)
60 Minutes

STANDARD
Audited SEC Filings

Learning Objectives & Executive Overview

Clear conceptual grounding for undergraduate and graduate business students.

CORE COMPETENCIES

Goals

What You Will Master Today

- **Theoretical Mastery:** Evaluate seminal literature and analytical frameworks governing platform competition.
- **Empirical Rigor:** Reconcile management strategic claims with legally audited statutory filings.
- **Data Modeling:** Execute spreadsheet calculations with explicit coordinates and formula logic.
- **Executive Formulation:** Deliver structured board-level recommendations resolving complex trade-offs.

EMPIRICAL VERIFICATION

Vocabulary

Key Topical Foundations

- **Information Asymmetry::** Investor deck narratives vs. legally audited 10-K/20-F.
- **Non-GAAP Scrubbing::** Reconciling promotional Adjusted EBITDA to GAAP Net Income.
- **Methodological Rigor::** Auditing business model claims against verifiable numbers.
- **Micro-Examples::** Podcast claim audits, MAU definition shifts, SBC adjustments.

Theoretical Foundations: Empirical Verification

Rigorous analytical frameworks and literature benchmarks.

THEORETICAL ARCHITECTURE

Literature

Seminal Framework Insights

- *Information Asymmetry::* Investor deck narratives vs. legally audited 10-K/20-F.
- *Non-GAAP Scrubbing::* Reconciling promotional Adjusted EBITDA to GAAP Net Income.
- *Methodological Rigor::* Auditing business model claims against verifiable numbers.
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STRATEGIC APPLICATION

Analysis

Business Model Mechanics

- *SPAC IPO (2021)::* Southeast Asian super-app spanning mobility, food, fintech.
- *Promotional GMV::* Marketing rapid top-line Gross Merchandise Value growth.
- *Subsidy Reality::* Billions spent on driver incentives & consumer voucher promotions.
- *Turnaround Mandate::* Eliminating subsidies to achieve GAAP operating survival.

STRATEGIC TAKEAWAY

Non-GAAP reconciliation, partner/consumer subsidy audits, and Grab Holdings super-app trajectory.

Enterprise Case Dissection: Grab Holdings Super-App

Historical case evidence and multi-year corporate trajectory analysis.

CORPORATE DYNAMICS

Timeline

Market Conditions & Strategic Moves

- **SPAC IPO (2021)::** Southeast Asian super-app spanning mobility, food, fintech.
- **Promotional GMV::** Marketing rapid top-line Gross Merchandise Value growth.
- **Subsidy Reality::** Billions spent on driver incentives & consumer voucher promotions.
- **Turnaround Mandate::** Eliminating subsidies to achieve GAAP operating survival.

ANALYTICAL FOCUS

Evidence

Operational & Financial Findings

- **Grab 20-F Data::** GMV, partner incentives, consumer incentives, GAAP Net Loss.
- **Total Subsidies::** Summing partner and consumer subsidies (=C2+D2).
- **Subsidy % of GMV::** Tracking incentive burn as % of GMV (=I2/B2*100).
- **Non-GAAP Reconcile::** Contrasting +\$285M Adj. EBITDA with -\$158M GAAP Loss.

Lab Dataset & Empirical Metrics: Applied Excel Lab

Reconciling corporate filings with explicit spreadsheet formulas.

SPREADSHEET MODELING

Lab Spec

Data Metrics & Formulas

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MANAGEMENT DILEMMA

Decision Lab

Strategic Tension

- **Cumulative Subsidy Math::** Quantifying \$6.8B in subsidies burned over 4 years.
- **Super-App Synergies::** Evaluating whether bundled features created genuine synergies.
- **Due Diligence Brief::** Assessing whether 2024 EBITDA represents sustainable cash flow.
- **Executive Memo::** Institutional investor due diligence report on super-app economics.

Executive Problem Solving: Executive Lab

Framing complex management dilemmas and evaluating corporate trade-offs.

EXECUTIVE CHALLENGE

Dilemma

Corporate Strategic Tension

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EVALUATION RUBRIC

Requirements

Board-Level Deliverable

- **Actionable Recommendation:** Formulate a concrete 3-bullet decision brief for senior leadership.
- **Quantitative Defense:** Support recommendations using audited financial metrics from the lab spreadsheet.
- **Risk Mitigation:** Address channel friction, partner resistance, or competitive retaliation.
- **Implementation Timeline:** Define immediate 90-day execution milestones.

Lab Transition: 120-Minute Hands-On Execution

Transitioning from lecture observation to hands-on data manipulation and strategic decision-making.

EXERCISE 1: FOUNDATIONAL PRACTICE

60 Min Lab

Applied Excel Lab

Hands-on spreadsheet protocol using audited historical numbers:

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EXERCISE 2+: ADVANCED PROBLEM SOLVING

60 Min Memo

Executive Lab

Applied scenario analysis, trade-off evaluation, and executive brief:

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